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China Economics

AI Supercycle Powers a Structural Export Upswing

CITI'S TAKE

China's trade growth surprised sharply to the upside in June. Export outperformance was driven primarily by robust demand for AI hardware and surging semiconductor prices, while the global energy transition continued to bolster China's green-tech shipments. Imports were also heavily tech-led. June's trade data reinforced our view that the export upswing is becoming increasingly structural. Looking ahead, these tailwinds should sustain solid export growth through 2H26. Protectionism remains the principal downside risk, particularly as trade tensions with the EU intensify, while US-related risks appear relatively contained. In contrast, domestic demand could remain weak amid an increasingly [K-shaped recovery](#). We therefore expect policy support to remain targeted and incremental rather than taking the form of broad-based stimulus.

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China's exports and imports both strengthened markedly in June. Export growth exceeded expectations at 27.0% YoY (Citi/market: 18.0%/19.0%), accelerating for a third consecutive month. Imports also outpaced expectations, surging 36.0% YoY (Citi/market: 25.0%/26.1%). As a result, the trade surplus widened to US\$125.6bn, the largest since January 2025. Outbound shipments expanded 20.2% YoY in 2Q26, marking the fastest growth in 18 quarters, while import growth reached 29.5% YoY, the strongest since 3Q21. In 26H1, exports registered robust growth of 17.6% YoY, compared with 5.5% in 2025, while imports advanced even more rapidly by 26.6% YoY after remaining broadly flat last year. With imports outperforming exports, the trade surplus narrowed modestly to US\$576bn in 1H26, from US\$583bn in 25H1.

The export outperformance was mainly driven by robust demand for AI hardware and surging semiconductor prices, while strong energy-transition demand also bolstered China's green-tech exports.

- **By partner, the improvement was broad-based, with ASEAN providing the largest boost.** Shipments to ASEAN accelerated to their fastest pace since March 2023 (Jun: 34.5% vs. May: 24.3%) and remained the biggest contributor to headline growth. Likely supported by surging air-conditioner shipments amid Europe's heatwave, exports to the EU quickened to a four-month high (18.5% vs. 7.6%), with those to Germany jumping notably (27.2% vs. 16.7%). Shipments to Africa (28.0% vs. 18.6%) and Latam (28.4% vs. 6.1%) also strengthened. Tech-heavy destinations continued to exhibit buoyant demand, with exports to South Korea remaining elevated (42.6% vs. 42.1%) and those to Taiwan gaining further momentum (43.7% vs. 32.2%). Meanwhile shipments to Japan decelerated moderately (6.9% vs. 10.9%). Elsewhere, export growth to India more than doubled (39.4% vs. 18.6%), while that to Russia also edged higher (38.0% vs. 35.8%). However, exports to the US slowed, mainly due to an unfavorable base effect (13.9% YoY vs. 35.4% YoY).
- **By product, export strength was broad-based.** Major categories such as mechanical and electrical (M&E) products (34.2% vs. 27.4%) advanced to a four-month high, while high-tech products (52.2% vs. 50.9%) registered their fastest growth since March 2021. Labor-intensive goods (8.0% vs. 0.6%) also marked a third consecutive month of acceleration. Supported by the global AI supercycle, IC exports reached another high (121.9% vs. 110.9%). Meanwhile, rising consumer electronics prices weighed on related exports. PC export growth eased to a still-robust level (53.1% vs. 66.1%), while mobile-phone exports slowed more visibly (27.5% vs. 44.3%). Separately, underpinned by robust EV shipments, auto exports rose to a four-month high (69.6% vs. 39.3%). Ship exports also strengthened further (42.3% vs. 31.0%).

Boosted by higher AI-hardware and semiconductor prices, import growth surged to a five-year high.

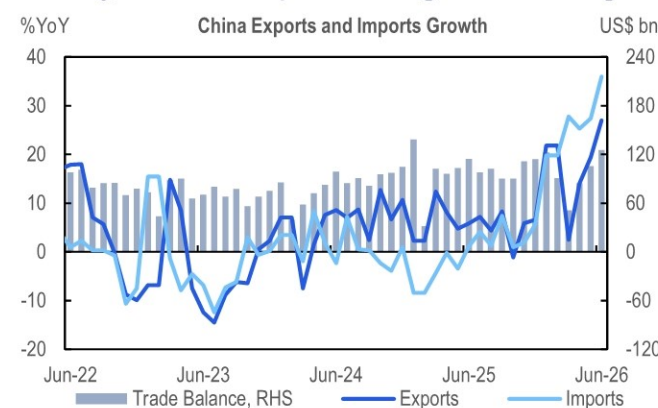
- **By partner, import growth was broad-based, with Indonesia the main exception.** Among technology hubs, imports from South Korea (85.0% vs. 83.5%) stayed elevated and remained the largest contributor to headline growth. Imports from Taiwan more than doubled in growth terms (41.0% vs. 19.6%), while those from Japan also firmed (33.9% vs. 29.1%), consistent with strong semiconductor shipments into China. Imports from Africa climbed to their fastest pace since March 2022 (40.2% vs. 21.1%), likely partly reflecting China's tariff free policy for 53 African countries, effective May 1. Following President Trump's May visit, imports from the US recorded a fourth consecutive month of growth and accelerated to around a five-year high (25.8% vs. 20.3%),

while imports from the EU returned to expansion (9.2% vs. -1.3%). Purchases from Russia (38.6% vs. 32.5%) and Latam (37.8% vs. 22.5%) also gathered pace. However, imports from ASEAN softened marginally (26.5% vs. 28.2%), partly due to Indonesia's tighter coal supply and centralized strategic commodity exports.

- **By product, the import composition points more to technology demand than to a broad-based recovery in the domestic market.** High-tech (57.8% vs. 46.8%) and M&E imports (47.5% vs. 38.2%) both strengthened materially. PC imports rose significantly (156.7% vs. 80.1%), while chip imports accelerated further (72.3% vs. 68.0%), together the two categories again contributed almost half of headline import growth. With domestic EV, brands continued to gain market share, auto imports remained in contraction (-15.6% vs. -25.0%). Among commodities, crude oil imports declined in value terms (-7.4% vs. 15.3%), while volumes plunged more sharply (-41.3% vs. -29.0%) to their lowest level since October 2016, amid weak domestic demand and supply disruptions. Coal purchases surged in value terms (60.7% vs. 10.8%) and rebounded strongly in volume terms (29.5% vs. -7.7%). Meanwhile, soybean imports recovered notably in both value (22.5% vs. -1.8%) and volume terms (10.5% vs. -15.3%), following the US-China trade truce and the resumption of US soybean purchases.

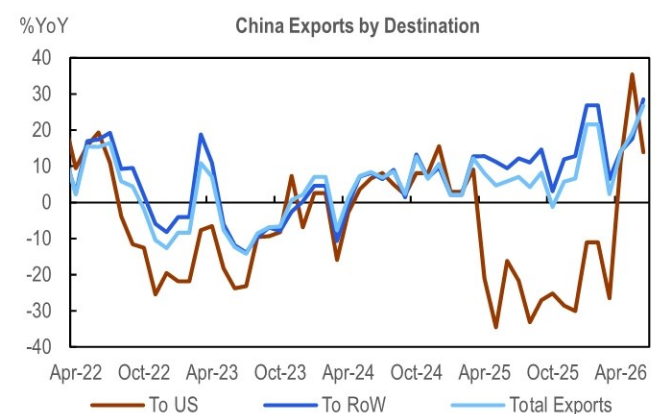
June's trade data reinforced our view that China's export upswing is increasingly structural. The outperformance reflected three key forces: [1] The AI hardware supercycle shows no signs of cooling, Chips and PC exports rose 67.5% in 26H1, contributing 7.0ppts to headline growth; [2] PPI reflation is translating into higher export prices—up 8.9%YoY in May, the fastest pace in 40-months—which supports export growth in nominal terms; [3] The global energy transition, amplified by Middle East disruptions, lifted “New Three” exports by 45.8% in the first half. Looking ahead, these structural tailwinds should sustain solid export growth in 2H26. Protectionism remains the principal downside risk. US risks appear relatively contained following [the IEEPA ruling](#) and [the Trump-Xi summit](#), while EU risks appear to be rising as Brussels considers tougher trade-defense measures ([Bloomberg](#), 11 July). In contrast, domestic demand could remain weak in [this K-shaped economy](#). We therefore expect policy support to remain targeted and incremental rather than taking the form of broad-based stimulus.

Figure 1. China's exports and imports both strengthened markedly, with trade surplus widening to 17-month high



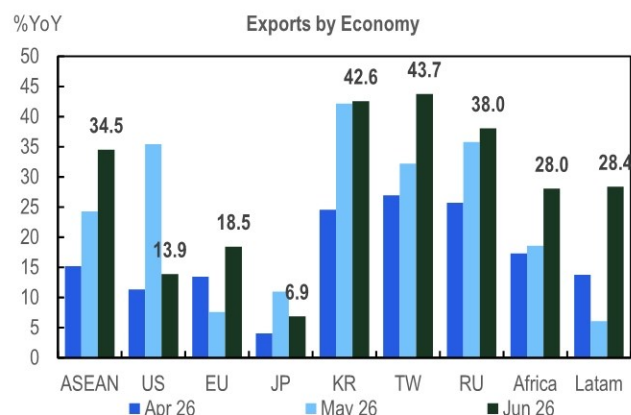
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Figure 2. Exports to the US slowed in June, mainly due to an unfavorable base effect



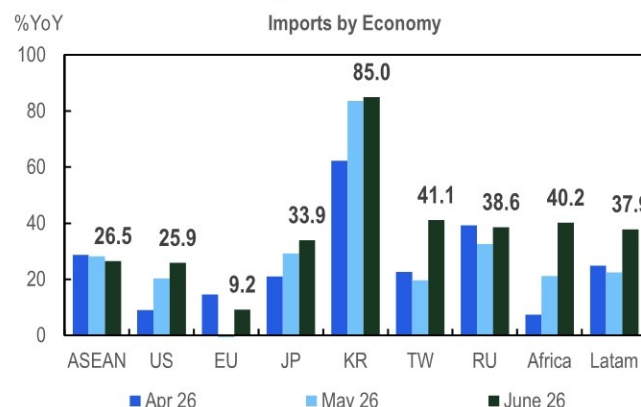
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Figure 3. The exports improvement by partner was broad-based



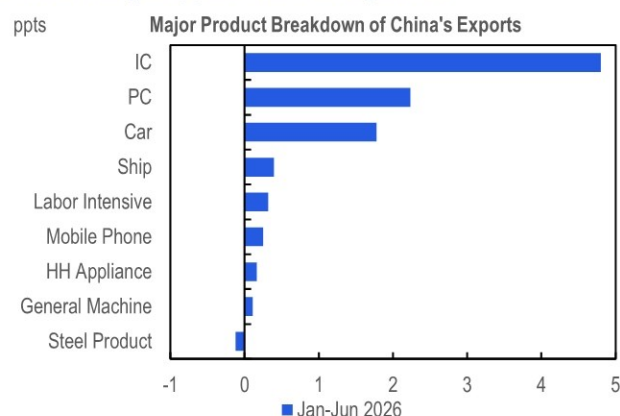
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Figure 4. Import growth by partner also broad-based, with Indonesia the main exception



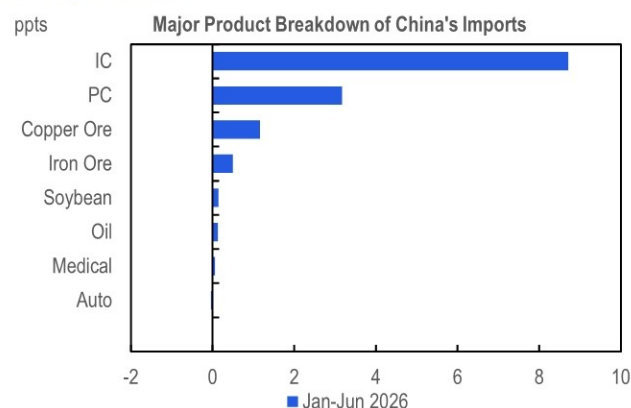
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Figure 5. Chips and PC exports rose 67.5%YoY in 26H1, contributing 7.0ppts to headline growth



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Figure 6. Imports improvement in the first half were also heavily tech-led



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